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B.Tech/ M.Tech (Integrated) DEGREE EXAMINATION, MAY 2024
First Semester

21MGH101T – FUNDAMENTALS OF ECONOMICS
(For the candidates admitted from the academic year 2022-2023 onwards)

Note:

- (i) **Part - A** should be answered in OMR sheet within first 40 minutes and OMR sheet should be handed over to hall invigilator at the end of 40th minute.
- (ii) **Part - B** and **Part - C** should be answered in answer booklet.

Time: 3 Hours

Max. Marks: 75

PART – A (20 × 1 = 20Marks)

Marks BL CO PO

Answer ALL Questions

- The elasticity for the demand of durable goods is _____.
(A) Zero (B) Equal to unity
(C) Greater than unity (D) Less than unity
1 1 1 1
- Which of the following statements about the Indian economy is correct?
(A) India follows the capital economic structure (B) India follows the socialist economic structure
(C) India follows the mixed economic structure (D) Structured economy and mixed economic structure
1 2 1 1
- If there is no change in demand even after % change in price, it is known termed as _____.
(A) Relatively elastic demand (B) Perfectly inelastic demand
(C) Relatively inelastic demand (D) Unitary elastic demand
1 1 1 1
- Necessity goods tend to have an _____.
(A) Elastic demand (B) Inelastic demand
(C) Unitary demand (D) Equal demand
1 1 2 1
- Elasticity is the measure of _____.
(A) Responsiveness (B) Change
(C) Price (D) Need
1 2 2 1
- The slope of the indifference curve is equal to which of the following:
(A) One (B) Marginal utility
(C) Marginal rate of substitution (D) Unit utility
1 2 2 1
- Which factor determines equilibrium price?
(A) Demand for commodity (B) Supply of commodity
(C) Both (A) and (B) (D) Floor price
1 2 2 1
- The banks are required to maintain a certain ratio between their liquid assets and total deposits. Identify that ratio
(A) CRR (Cash reserve ratio) (B) SLR (Statutory liquidity ratio)
(C) CAR (Capital adequacy ratio) (D) CLR (Central liquid reserve)
1 1 4 3

9. Lower interest rates are likely to _____.
 (A) Decrease consumption (B) Increase cost of borrowing
 (C) Encourage saving (D) Increase borrowing and spending
10. Which of the following are not characteristics of Keynesian consumption function?
 (A) The main influence on consumption in the short run is current disposable income
 (B) The marginal propensity to consume is less than one
 (C) The average propensity to consume decreases as income increases
 (D) The average propensity to consume increases as income increases
11. Two sectoral economy consists of _____.
 (A) Household and foreign sector (B) Firms and foreign sector
 (C) Households and firms (D) Government and firms
12. Investment is _____.
 (A) An injection that increases aggregate demand
 (B) An withdrawal that increases aggregate demand
 (C) An injection that decreases aggregate demand
 (D) An withdrawal that decreases aggregate demand
13. If an increase in investment leads to a bigger increase in national income.
 (A) Accelerator (B) Aggregate demand
 (C) Monetarism (D) Multiplier
14. Which of the following organizations calculate the gross domestic product in India?
 (A) Reserve bank of India (B) Indian statistical institute
 (C) National statistical office (D) Indian financial office
15. At every point along the aggregate demand curve
 (A) $Y = C + I + G$ (B) $Y = C$
 (C) $G = T$ (D) GDP
16. If you buy a stock from a firm, you are _____.
 (A) Borrowing money from the firm
 (B) A partial owner from the firm and have a claim on the firm
 (C) Suffering a capital loss (D) Sacrificing future consumption for cement consumption
17. An examples of an automatic stabilizers within the economy are _____.
 (A) Tariffs on imports (B) A tax cut approved by congress
 (C) Defense spending changes (D) Changes in spending for unemployment compensation
18. What is inflation _____.
 (A) Always reduces cost of living
 (B) Always reduces standard of living
 (C) Reduces price of products (D) Reduces purchasing power of money

19. LM curve shows the equilibrium condition in _____ market. 1 2 5 3
 (A) Goods market (B) Product market
 (C) Money market (D) Say market
20. Which of the following phases describe the phase of business cycle that occurs after a trough and before a peak? 1 2 5 3
 (A) Lag (B) Consolidation
 (C) Expansion (D) Contraction

PART – B (5 × 8 = 40 Marks)

Answer **ALL** Questions

Marks BL CO PO

21. a. Explain in detail about the fundamentals of economics in detail. 8 2 1 1
- (OR)**
- b. Explain in detail about the importance of theory of demand. 8 2 1 1
22. a. Discuss the advantages of tax and subsidies with an example. 8 2 2 1
- (OR)**
- b. Examine the consumer's equilibrium with income and substitution effects. 8 3 3 1
23. a. Explain the following terms with an example: 8 2 4 3
 (i) GNP
 (ii) NNP
 (iii) GDP
 (iv) NDP
- (OR)**
- b. Examine the influence of money supply towards Indian economy. 8 2 5 3
24. a. Examine the role of financial institutions in four sector model of circular flow of income. 8 3 5 3
- (OR)**
- b. Explain the concept of national income and its components. 8 2 4 3
25. a. Illustrate the concept of bank credit creation with diagram. 8 2 4 3
- (OR)**
- b. Examine the simple Keynesian model of income determination with reference to Keynesian multiplier. 8 3 4 2

PART – C (1 × 15 = 15 Marks)

Answer **ANY ONE** Question

Marks BL CO PO

26. Explain the importance of IS and LM model. 15 2 5 2
27. Examine the different pricing decisions under various market structures and implications of pricing decisions. 15 3 4 3

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